Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Diego Gaxiola -
Steve Mollick -

Analysts
Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Álvaro García - Research Analyst
Autumn Graham -
Botir Anvarovich Sharipov - Analyst, Precious Metals
Felipe Ucros Nunez - Analyst
Luis Miranda Valenzuela - Head of Food and Beverage

Presentation

Daniel Javier Servitje Montull
Yes, Luca. Well on the Mexican team, we have volume growth, very strong volume growth but also inflation, a bit around the general inflation rate or a bit of both. And that price -- those prices are holding up and we're very happy with the way that we are basically managing the whole situation. We're -- we have been basically doing a good job in trying to take advantage of the opportunities presented at each channel. We kept on basically executing on our plans for the provisional channel and that is paying off and also good growth in the convenient store channel and the modern channel, which is also a channel that's been growing significantly this year in general. So all in all, I would say it's -- this is a reflection of our actions as well as the consumer sentiment in the country this year. On the U.S., I don't know Fred if you want to just take that question?

Alfred Penny
Yes. Sure Daniel, I'd be happy to. I guess Luca, I would start by saying it's a -- this was a -- was and is a significant event. We're talking about approximately a 15% reduction in our salaried workforce and I mentioned on the last quarter call that this program was only for the salaried population and it was a major event, a major undertaking to do and we did not take it lightly. I have to say also that I give credit to the leadership team of BBU in the U.S. on the manner in which it was executed and the timeline in which this was executed, we're talking about from conception to execution, probably no more than 3 months' time. The objectives are -- were clear to create a leaner, more nimble, more cost-effective organization and quite frankly, to create opportunities for high potential talent to move more quickly through the organization and contribute in a greater way to BBU. So I would leave it at that.

Operator
And today's next question comes from Alex Robarts of Citi.

Alexander Reid Robarts

I had a -- 2 as well and I wanted to just start off on the CapEx initiative this year. You've kept with the guidance, I guess at $800 million to $850 million, up from last year clearly but you seem to be coming out of the blocks this first half of the year with the [3]-- kind of less than half of that, the $340 million in the first half. Could you tell us a little bit about the deployment of where that's been going? And since it seems that this is back loaded, i.e. most of it coming in the second half of the year, where might we be expecting the investments to be deployed? So wanted to come back on a second question in the U.S. but maybe we could start with that one.

Diego Gaxiola
Alex, this is Diego. Yes, as you mentioned we invested during the first 6 months close to $340 million, which is clearly less than half of the initial estimate that we had as a range of between $800 million to $850 million. We maintain the range, probably will -- going to be more at the lower end of the range, more closer to $800 million. I'll probably like to say first of all that we have continued to be very cautious on starting new projects, as we're able to grow the EBITDA and to generate the cash, taking care of the deleverage objective that we have, as I mentioned to be below 3x by the end of the year. If we see the CapEx, that where we have been investing on upper region basis, I would say probably half of it has been going to Mexico, like 1/3 has been going to North America and like a 1/4 approximately to EAA and Latin America. I think that the mix for the second half is going to be similar, probably a little bit heavier on the EAA as we continue to build a couple of factories, 1 in France and another 1 in Russia. So that can be a little bit more intensive in the second half.

Alexander Reid Robarts
Right. Okay. That's helpful. So on the lower end perhaps for the year, okay. And the second one was around the voluntary separation program and I appreciate the detail that you've given us and it was really for us to clarification, I guess I look back at the initial announcement and I had the impression that this had covered 9% of the eligible, non-union employees but I think I heard during the call that it was 15%. And I'm wondering is it 9% or 15%? Or just kind of are you -- if you could clarify that? And it seems to me that one of the other elements to this is that it can likely change your contribution expense for the multi-employee pension plans. Could you confirm that there could be a connection there? And just remind us, it's been a few calls now that -- how much is that contribution expense running? I mean it was a $120 million on an annual basis, the last time that we had checked in on that and just kind of where you stand on the MEPPs and the current negotiations with the sponsors there? So kind of a multipart question but around that more technical aspect that you've got in the United States.

Alfred Penny
Alex, it's Fred. Relative to VSP, we gave the numbers 15% and we gave guidance in the Q1 call that it would be in that range. I don't know where the 9% came from, but it's 15%. And it is only the salary pop -- the non-union salary population, so there is no linkage or impact on contribution expense. I'll let Steve Mollick take the second question on MEPPs.

Steve Mollick
So Alex, there's no change in the contribution -- to the contribution rate per Fred's comment. And it's in the range of $110 million to $120 million annually and relative to the contingent withdrawal liability and the progress there, we continue to make progress to look at alternatives to manage that risk but it is -- it's stable and there is no major material developments since the last time we talked.

Alexander Reid Robarts

So we're still just about $1 billion to $1.3 billion in the off balance sheet liability? Is that a safe range?

Steve Mollick
That's a safe range and it's a little less than 50% of the overall contingent withdrawal liability.

Operator
And ladies and gentlemen, our next question comes from Luis Miranda of Santander.

Luis Miranda Valenzuela
A couple of questions. The first one is I know you mentioned in the negotiations in Europe with labor are being slightly more complicated than expected. I wanted to understand if this could lead or we could see some program like the VSP implemented in the U.S.? Or if these negotiations could be too higher than expected integration cost? And then 2 follow-up questions very quickly. You mentioned about the pricing in Mexico in line with inflation, I was just wondering if the very solid volume that you're seeing could open some opportunities for pricing or right now it's something that you're not considering during the second half. And the final one, just a clarification, you mentioned the pay-out for the VSP in the U.S. for 2 years, I just wanted to know if that was the correct number?

Daniel Javier Servitje Montull
Yes. On the VSP side, that's the right metric. With -- on the Spanish negotiations, in their lines, we would say that we're arriving at the reasonable conclusions with the different parties involved. It's a -- I would say, it's a rather complex process and we're doing things for -- with a long-term view in mind and not rushing it to conclude it. So whatever we're doing, it's for us to have the right combination of conditions so that we can prosper in the country in the long term. So that's -- just I would say mainly a delay, it might have some implications in some parts of the organization on the functional areas, maybe from more headcount in some areas but in generalized states, it's proceeding alongside the objectives, but with a rather significant delay on the expected closure of the different items. But I would say that we're -- so far, we probably accomplished more than 3/4 of the negotiations in both. On the activities that we're doing in the company in terms of being more productive, that is happening in the different businesses, as I mentioned in my general comments, we will be doing in the remainder of the year, obviously not as big as it happened in the U.S. but we will continue to look in the different countries and areas, where we could resize our structure so as to become more nimble and more agile. And that is -- there is a plan for that to happen in every organization in the remainder of the year and we're proceeding it with that strategy in a thoughtful and sensitive way. And I don't know if there was any other question?

Luis Miranda Valenzuela
Yes. There was just if you see pricing opportunity for the second half in Mexico? Or is it already the pricing increases that you implemented out already, the structure is there?

Daniel Javier Servitje Montull
I mean it will depend on a case-by-case, but in general, I would say that we will maintain the -- basically the prices that we have in general and that's our expectation. So we'll see how inflation goes in the remainder of the year.

Operator
And our next question today comes from Autumn Graham from Schroders.

Autumn Graham
I had a question on the delevering target of 3x for the end of this year. Are you including the VSP in the calculation of EBITDA for that? And as well as other one-off expenses, as in will that be based on adjusted EBITDA? Or will it include those type of things?

Diego Gaxiola
This is Diego. Yes, the target that we have will be below 3x, this is excluding the VSP one-time charge we had during the second quarter.

Autumn Graham
Okay. And then in the U.S., I'd be curious to know, a little bit of color on the labor situation there and just what your businesses are experiencing in terms of difficulty in sourcing labor as we've seen across other labor intensive industries in the U.S.?

Alfred Penny
Hi Autumn, it's Fred. Yes, I guess the general comment I would make on a labor situation is that like other -- many other industries, we're certainly feeling the effects of a much tighter labor market and it manifests itself in longer recruitment time to fill positions and it's just something that we're going to have to deal with and work through as we go forward to the extent that it doesn't change anytime soon.

Operator
And our next question comes from Botir Sharipov of HSBC.

Botir Anvarovich Sharipov
I've got a couple, first on top line growth in U.S., 4% in U.S. dollar terms, sounds pretty good to relative to what we've seen in the past few quarters. As you could maybe elaborate where you're seeing the volume growth and how were you able to accomplish that in the second quarter? And whether it is sustainable? And the second question is again on going back to VSP, nice to see that today that the 15% of your non-union now started workforce, but if you could maybe clarify for us, what is it as a percentage of your sales, maybe what kind of savings are you're going to see, hoping to see in the next few quarters? Either as a percentage of sales or maybe overall COGS if it's coming at that line? And also, how do you see the payouts evolve in the next couple of years? Is it going to be sort of $105 million and even payouts over the next few quarters? Just kind of give an idea of the cash outflow that we should expect?

Alfred Penny
Yes Botir, it's Fred. I'll take a couple of -- I think I'll be able to take a couple of your questions and then I'll let Steve Mollick take the last piece of the question. Relative to the growth of 4%, that's across North America so it's U.S. and Canada, I would -- and it's a combination of tonnage growth and price -- and some pricing. As I mentioned earlier, in terms of categories, it's in largely mainstream bread, what we define as mainstream bread. In breakfast, which would be muffins and bagels for us, and in sweet goods and snack cakes, those categories to varying degrees all experienced tonnage and dollar growth. And really, what's behind it at least from a U.S. standpoint is what we've talked about in past calls is, we've been very heavily focused on driving our strategic most important brands and we're seeing that come to fruition for us and we're going to continue to do that going forward. Relative to VSP, I would say simply, we're not going to give specific dollar guidance. I think we said it's less than 2 year payback. It's directionally 15% of the workforce and we expect to recognize savings essentially now through the rest of this year and into next year.

Steve Mollick
And related to the cash usage of -- cash profile of the $105 million VSP charge. That $105 million is largely driven by salary and benefits continuation and you're going to see the cash profile, I'll say spread over the remaining 18 months, the next 18 months, skewed more toward the first half, the first 9 months, if you will, and then tailing off in the back half of 2019.

Daniel Javier Servitje Montull
Yes. I will also add that Canada is doing very well. It's probably performing better than in previous years. So we're also very happy about our Canadian performance as well.

Operator
And today's next question comes from Felipe Ucros of Scotiabank.

Felipe Ucros Nunez
Most of my questions were answered. Let me ask a quick one about interest expenses. They surged quite a bit over this quarter obviously. You were finalizing transactions and kind of changing a little bit the makeup of your debt mix, but I was wondering if there are some transaction or advisory expenses built into that number? Or any other type of noise? Or whether that's the type of number that should we be -- that we should be expecting for interest rates -- for interest expenses going forward?

Daniel Javier Servitje Montull
No, really the increase on the cost of financing and the interest line comes first of all because of the increase on deleverage of the company, we have an incremental MXN 11.3 billion of additional debt as compared to same quarter of last year. And second, we were facing a higher interest rate because of the currency mix as I said, we're literally -- we have a more weight on the peso. And as you know, with a peso debt we have a higher rate. So that's also hurting a little bit in the cost of financing. So that's basically on the interest plan, offsetting these negative effects, we have a positive exchange rate gain in the quarter as compared to a loss in the same quarter of last year, that is creating a positive effect of opportunity for MXN 150 million. So that's basically what we can expect going forward, it's something similar to what we saw during the second quarter.

Operator
And our next question comes from Álvaro García of BTG Pactual.

Álvaro García
I was wondering if you could provide an update -- I have 2 questions. First, I was wondering if you could provide an update on your outlook for restructuring expenses in the U.S. going forward. So for the next couple of years, if you could maybe provide a -- lets say some guidance on the cash expenses, so what would be included within your adjusted EBITDA on a yearly basis? That's my first question. My second question is on China. You mentioned the $20 million to $25 million in integration expenses that you'd expect over the next couple of quarters. How should that be distributed, 1 ? And 2, if you could just sort of give an overall update on your strategy in China now that you have, let's say, now that you've closed the Mankattan deal?

Alfred Penny

Alvaro, it's Fred, I'll take your first question. We're not going to give specific guidance at this time on what restructuring dollars could be. I would tell you though that we continue to look for opportunities to make the company more efficient and if and when those opportunities present themselves, we're certainly going to execute against them. I believe there are more opportunities across the organization to become more efficient and we continue to work on identifying specific projects to achieve that. So we'll have to just wait and see as they develop.

Diego Gaxiola
Yes, on China, 2 comments. The first one is that we're spending about half of the integration cost on the movement and closing of our current plans, to the Mankattan plan, which is a much better basis for what we have in that city. So -- and the rest is all other areas of the business that we'll integrate. And I think we'll also flow a part of that cost into next year as well. The strategy in China, I would say it's been two-fold. On one hand, we are expanding our reach in the food service business and we are the leading player in that segment in the whole country and basically that was through the acquisition of East Balt and now with the Mankattan [indiscernible] also [indiscernible] as well, and as you probably know that was our [exchange] are growing at a very healthy rate in the country and we're benefiting from that growth as well. So we're very, I would say eager and conscientious of the way we're going to be providing service and added value to our customers in that category, in that business. The other part is the branded business and with the acquisition of Mankattan, we now have 2 brands, 1 with a larger footprint, which is Mankattan in the major urban cities in China. So just to give you a perspective in basically in a year, we have moved from having 1 plant in China to 10 plants in China and the region, the impact of the business in the company will grow over time and we're betting that it will provide a lot of growth and also much better margins than in the past, in the coming years for Grupo Bimbo.

Daniel Javier Servitje Montull
And I would importantly like to add that we, during the second quarter, the expenses that we faced from the integration of China, is because we made up our region recognizing the future impact from the write-off moving from the existing facility to a new one of Mankattan. So it's basically in the write-off of the net investment on the value that we had on the plant.

Álvaro García
Great. So would it be fair to assume that -- of that $20 million to $25 million, which half is plant related, let's say, is most of that already reflected this quarter?

Diego Gaxiola
No, no, no. This was just basically the write-off of the existing net evaluation that we have on the plant, probably half of the total amount will be as a CapEx and the expenses that we will face for moving the plant and then the other systems and the ERP and some other expense and investments that we have to make. It's going to be this year and also it's going to be next year, it's important to mention.

Álvaro García
Yes, perfect. That was clear, so basically just this quarter was basically the old plan, but it's clear that the $20 million to $25 million is now going forward.

Operator
And ladies and gentlemen, this concludes our question-and-answer session. At this time, I would like to turn the floor back over to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Thank you all for your time today and please do not hesitate to contact us with any further comments or questions you might have. Thank you very much.

Operator
And thank you, sir. This concludes today's presentation. You may disconnect your lines at this time, and have a nice day.

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